The bank accepts the bill of exchange and pays. For that, it deducts some percentage of money as interest. For example, for a bill of exchange of ₹1000 the bank may pay ₹920 after deducting 8 per cent interest.

The bank will receive full amount from purchaser, on the maturity date. Otherwise, the bank will convert these into money at a lesser discount rate from RBI. For example, at 6 per cent and will receive ₹ 940. The profit for bank is ₹20. This is called rediscount. This rate is called bank rate or discount rate. Apart from bills of exchange, the commercial banks get their government securities discounted from RBI.

To be precise, the bank rate or the discount rate is the rate fixed by the central bank at which it rediscounts first class bills of exchange and government securities held by commercial banks.

By varying the bank rate, the RBI controls the credit. If RBI offers discount at a higher rate (increases the bank rate) the bank's profit may be affected. So, it will not approach RBI for discounting or will charge higher discount rate from customer. So the customer may not discount his bill. Hence, the money supply will be low. The reverse is the case when RBI reduces the bank rate. So, depending on the economic condition, RBI alters the bank rate. If there is high inflation, the bank rate will be high and vice versa.

CC.1.A. 2. Open Market Operations

This method refers to the sale and purchase of securities, bills and bonds of the government as well as private financial institutions by the Central bank. The financial instruments like securities, bills and bonds are written documents that are issued to banks and public against money given by them. If the central bank sells these instruments, banks and public will buy it and pay money to the Central bank. If the Central bank buys these instruments from instrument holders, it will pay money to the latter.